



Governance Manager

Acquisition summary — financial & operational overview

Owner Blue Zoo | **Basis** FY26 actuals • FY27 goal & stretch | **Currency** AUD, excl. GST |
Status For acquirer review

SUMMARY

Governance Manager is a Blue Zoo-owned governance assessment platform delivering revenue through three channels: a small number of large recurring-contract clients, direct one-off assessments, and a growing reseller network. FY26 total revenue was **\$239,141**, of which **63%** was recurring. The product runs on a Microsoft .NET / Azure stack with all custom code owned by Blue Zoo. The figures below set out the FY26 position alongside FY27 goal and stretch targets.

FY26 REVENUE (ARR)

\$239,141

Total, all channels

RECURRING REVENUE

\$151,053

63% of FY26 total

GROSS MARGIN /
EBITDA

48%

FY26 • up to 78% stretch

LONG-TERM CHURN

Very low

Contract extension to
Apr 27

FINANCIALS

Revenue & profitability

METRIC	FY26	FY27 GOAL	FY27 STRETCH
Revenue (ARR / total)	\$239,141	\$224,353	\$287,671
Recurring contract	\$151,053	\$148,171	\$182,671
One-off ¹	\$88,088	\$76,182	\$105,000
Gross margin / EBITDA	48%	51%	78%
Annual contract value	\$151,053	\$148,171	\$182,671
Projected growth — large client	n/a	-2%	21%
Projected growth — assessment only ²	n/a	700%	1,900%

¹ A significant portion of one-off revenue is regular development for one long-term client, averaging roughly \$6,000–\$7,500 excl. GST per month, which could be cut at little notice.

² Assessment-only growth is calculated off a very low base (~\$1,000).

CUSTOMERS & CHURN

Customer base

SEGMENT (COUNT)	FY26	FY27 GOAL	FY27 STRETCH
Large clients ³	2	1	2
Assessment only (direct) ⁴	8	10	10
Resellers	1	2	4
Reseller assessments	2	6	12

CHURN — LONG-TERM CLIENTS

Very low. The principal long-term client signed a two-year contract extension to April 2027. The one large client lost in FY26 (~\$36k of revenue) had been with Blue Zoo for 10+ years.

³ One long-term large client was lost in FY26, equating to roughly \$36k in revenue.

⁴ Assessments delivered as part of other professional-services work were not charged for in FY26, but will be charged on an ongoing basis.

PRICING MODELS

How revenue is priced

LARGE CLIENTS

Custom model based on the number of the client's own clients and the number of assessments per client. Custom frameworks vs. Blue Zoo-owned IP frameworks.

ASSESSMENT ONLY

\$500 per assessment plus a framework cost, averaging around \$2,000 per assessment for a single assessment.

RESELLERS

\$500 per assessment plus a one-off cost for Blue Zoo-owned frameworks, or professional-services cost to develop a custom framework. Option to prepurchase assessments with a scaling bulk discount.

TECHNOLOGY & OPERATIONS

Platform, hosting & ownership

TECH STACK

Microsoft .NET with SQL Server, all based on Azure.

HOSTING

Azure — Australia Central.

DEVELOPMENT ROADMAP

Customisations to core.

THIRD-PARTY DEPENDENCIES

PostMark and Telnix for messaging services; code libraries from Telerik and Kendo.

IP OWNERSHIP

All custom code is owned by Blue Zoo.

TEAM / HEADCOUNT TRANSFERRING

A Senior Developer (1 FTE) and a Support Resource (1 FTE), both based in the Philippines, who may transfer.

Items for diligence

- 1 FY27 goal revenue (~\$224k) sits about 6% below FY26 (~\$239k), reflecting the loss of one large client (~\$36k); the stretch case (\$288k) returns the business to growth.
- 2 One-off revenue is concentrated in regular development for a single long-term client (~\$6,000–\$7,500/month), which could be reduced at short notice.
- 3 Headline assessment-only growth rates (700% / 1,900%) are calculated off a very low base (~\$1,000) and should be read in absolute terms.
- 4 The large-client base is thin (2 → 1 → 2), so customer concentration is a key sensitivity for recurring revenue.
- 5 Delivery depends on two offshore FTEs (Philippines) whose transfer is indicated but not confirmed — a key-person and transition consideration.
- 6 Operations rely on third-party services (PostMark, Telnyx) and UI libraries (Telerik, Kendo) — licensing and continuity to confirm.

